

the CRR cuts are in place, if the liquidity remains in deficit and the things in the overnight market are still very tight, they [the central bank] may need to do open market operations to inject more liquidity. But I won't call it quantitative easing.



What's the outlook for the rupee?

One recommendation is that the rupee should be allowed to be more volatile. It has over the last two years been the least volatile currency in the world. There is some merit in having higher volatility, [but] having excessive volatility is very damaging for the economy, because there are many economic participants, small businesses, small investors who do not have the ability to forecast currency levels, global economy and therefore may end up paying too high a price for hedging their exposures... But if you have too little, then the central bank is taking over the responsibility of hedging effectively for the overall economy, which generally is not wise. And especially as we head into a period of significant volatility in currencies globally, it makes sense for the band in which the USD-INR moves to be a lot wider than what it has been in the past two years.

On the level of the

currency, one last point is that there have been some exceptional outflows in the past two and a half months that are unlikely to be repeated or not be that intense in the next three months. So, there has been a significant amount of dollar-selling by RBI to protect the rupee from significant depreciation.

If President Trump's first policy is the exten-

sion of tax cuts, the fiscal deficit in the US starts going up, there is an increase in 10-year US bond yields, there are more outflows from emerging markets, the dollar strengthens further, then the rupee can face some more pressure.

A bigger issue is going to be what happens to the Chinese yuan (CNY), the renminbi. Chinese policymakers... have already signalled that they are preparing for a devaluation... if the USD-CNY was to rise further, then there would be a big question for the central bank as to, 'do you really want the rupee to appreciate against the yuan?' And this is not just the INR, every central bank in the

world will have to ask themselves that question.

I must say though, that keeping the rupee more volatile should be the stance of RBI.



Will the new Trump administration's initial salvos hurt or help growth?

There is some uncertainty on what exactly he will do... But what is clear is

that he will respect that mandate... The first is that there will be checks on immigration. And I think the deportation that he has promised, deporting 11 million illegal immigrants, looks difficult... But there is very likely to be a slowdown in immigration.. Which means that some of the growth surprises that the US was showing—which was coming from higher labour force or faster growth in the labour force—will slow down.

There is a second element, deregulation... which is... in government hands. Financial sector deregulation, oil drilling deregulation, healthcare deregulation, all of these will potentially boost



Trump has continued to mention India and Brazil together with regard to tariffs. Do you see a

shift required in our trade policy?

This is where I think many of the statements that we hear from the new US are starting points for negotiation. Even the threat of reciprocal tariffs... will mean that India may be among the worst affected, because India's import duties are among the highest among the major economies. We have calculated that if it is just translation, it would be about \$7.5-7.6 billion in a year, which is not small, but not shattering. So, should India's trade policy be changing in anticipation? I think this will be a process of negotiation. **BT**

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